IN THE INDUSTRIAL COURT OF MALAYSIA

CASE NO.: 11/4-149/24

BETWEEN

REBECCA TAN SIEW YENG ... CLAIMANT

AND

ABLR SDN. BHD. ... COMPANY

AWARD NO.: 1828 OF 2025

Before : Y.A. PUAN NUR FAUZAH BINTI DATO' MOKHTAR
- CHAIRMAN (Sitting Alone)

Venue : Industrial Court of Malaysia at Kuala Lumpur

Date of Reference : 22.01.2024.

Date(s) of Mention : 14.03.2024, 20.05.2024, 24.06.2024, 14.11.2024, 15.07.2024 & 21.11.2024.

Date(s) of Hearing : 27.09.2024.

Representation : For the Claimant –
Mr. Vince Tan Hoo Seh
Messrs. Jeeva Partnership

Company – Absent

REFERENCE:

[1] This is a reference from the Director General for Industrial Relations to the Industrial Court of Malaysia under *Section 20(3) of the Industrial Relations Act 1967* [*Act 177*] in respect of the dismissal of **REBECCA TAN SIEW YENG** ("the Claimant") by **ABLR SDN. BHD.** ("the Company") on **1st July 2023**.

AWARD

[2] This matter was initially fixed for hearing on 6th January 2025 and 7th January 2025 but was brought forward upon the request of the Claimant as the Company was absent for three (3) consecutive e-mention dates. Following thereto, the hearing proceeded on 27th September 2024.

[3] This Court duly notes that the Claimant and/or the Claimant's counsel were present at all mention dates. The Claimant had also duly filed her Statement of Case, Bundle of Documents and Witness Statement as directed by the Court.

[4] This Court further notes that the Company had been directed to file their pleadings and documents. The Company had also been informed of the mention dates and hearing date relating to the case *vide* all the relevant forms, notices and letters sent to the Company at its last known address. Despite directions given by this Court, the Company had failed to file their Statement in Reply and all relevant documents for purposes of the present case.

[5] On the day fixed for hearing i.e. on 27th September 2024, the Claimant's counsel and the Claimant were present but the Company and/or its representative were absent. Following thereto, the Claimant's counsel had requested to proceed with the hearing in the absence of the Company and/or its representative.

[6] The Court, exercising its power under paragraph 29(d) of the Industrial Relations Act 1967, proceeded to hear the case on 27th September 2024. In the absence of the Company and/or its representative, the hearing of the case concluded on the same day.

[7] In handing down this Award the following documents were considered by the Court:

(a) the Claimant's Statement of Case dated 11th April 2024;

(b) the Claimant's Bundle of Documents marked as CLB1;

(c) the Claimant's Witness Statement marked as CLWS-1; and

(d) the Claimant's Written Submission dated 12th November 2024.

The Claimant's Case and Submissions

[8] The Claimant commenced employment with the Company on 10th January 2022 with a starting monthly remuneration of RM11,000.00. The Claimant was employed as a Senior Brand, Marketing and Communications Manager.

[9] The Claimant's Employment Agreement dated 20th December 2021 contains the terms and conditions of her employment. The Claimant was confirmed in her position effective 10th April 2022 vide the Company's letter dated 27th July 2022.

[10] The nature of the Claimant's role was predominantly to support the development and execution of the brand, marketing and communication strategy of the Company.

[11] The Company has delayed the Claimant's salary for the month of January 2023 as she was only paid in February 2023. The Company still owes the Claimant her salary for the months of February, March, April, May and June 2023. The Claimant avers that this was done in bad faith and amounts to fundamental breach of the employment contract.

[12] The Claimant avers that during the said period the Company had engaged in unfair labour practices by not paying the salaries of their employees. The Claimant further avers that as one of the Company's malicious schemes to cover up their failure to pay wages on time, the Company offered two Voluntary

Separation Schemes ("VSS") dated 31st March 2023 and 26th May 2023, respectively, to the Claimant. Both were rejected by the Claimant as the Company had defaulted in the payment of her salary since February 2023.

[13] In relation to the VSS, it is the Claimant's averment that the said offer comes together with a letter dated 31st March 2023 expressing interest to re-employ those who had taken up the VSS offer. This was done to get employees to agree to the VSS so that the Company could avoid liability in relation to suits filed against it at the Industrial Court.

[14] The Claimant was served with a Letter of Redundancy dated 31st May 2023 stating that the Claimant's role had become redundant. It is the Claimant's contention that the justification to terminate her employment contract on redundancy is without basis and wrong in law as her job role, function and position still exist till today.

[15] The Claimant avers that her position had not become redundant and that she was dismissed without just cause or excuse. The whole VSS and redundancy excuse was a mere cover up for the Company to protect its own interest and its director, Ow Tuc Yun, Ian (Ou De' En). The Claimant further avers that she reserves the right to file a joinder application to include the Company's director, Ow Tuc Yun, Ian (Ou De' En) as a party to this proceeding.

[16] The Claimant also avers that the Company had failed to adhere to the pre-requirements and the principles of retrenchment before terminating the Claimant. This tantamount to an unfair labour practice and discrimination. As

such, the Claimant avers that her dismissal was without just cause and excuse, motivated by bad intention contrary to the established industrial practice against the notion of equity and good conscience.

[17] The Claimant further contends that the Company had breached the rules of natural justice and had deprived her of decent livelihood and security of employment which amounts to an unfair retrenchment exercise.

[18] The Claimant, *vide* the Claimant's Written Submissions dated 12th November 2024, submits that –

(a) for retrenchment to be a just cause or excuse it has to be made in good faith. This means that retrenchment would need to comply with fair labour principles and comply with the necessary requirements. In the Court of Appeal case of *Ng Chang Seng v Technip Geoproduction (M) Sdn Bhd & Anor* [2021] 1 ILR 1, the Court of Appeal acknowledged that while the Company has the right to reorganize itself when its business is not doing well there must be compliance of retrenchment principles such as Last In First Out ("LIFO") and the Code of Conduct for Industrial Harmony;

(b) the Industrial Court in the case of *Joseph Lim Chien Shiuh v Dancom TT&L Telecommunications (M) Sdn Bhd* [2021] 3 MELR 193, whereby the Claimant was dismissed from the Company pursuant to financial difficulties and business slowdown it allegedly suffered as a result of the Covid-19 pandemic and the Movement Control Order (MCO), found that the Company failed to show that the retrenchment exercise done in

relation to the Claimant was *bona fide*. The Industrial Court further found that shortly upon the termination of the Claimant the Company had systematically took away many of the Claimant's job scope and placing it upon other General Managers. As regards the memorandum issued by the Company on austerity measures pertaining to the commitment made to discontinue such measures upon re-evaluation of the Company's business recovery and pre-Covid 19 performance level, no evidence was led to show that such assessment had indeed took place where in actual fact the Company was quick to terminate the Claimant instead. As the Company merely seized the opportunity to make use of the Covid-19 pandemic as an opportunity to terminate the Claimant, the Industrial Court ruled that the dismissal of the Claimant was without just cause or excuse;

(c) in reference to the Industrial Court cases of *Lotteries Corporation (Sabah) Sdn. Bhd. Sabah v Vincent Lee, Sabah* [1991] 1 MELR 226, *Murugan Varathan v Brinks Corporation Sdn Bhd* [2024] MELRU 1502 and *Muralivaman A/L Govindasamy v P Kasi Associates Sdn Bhd* [2016] MELRU 790, the Claimant's claim should be allowed as the Company was absent the Claimant's case was unrebutted and presumed to be true;

(d) notwithstanding the fact that the Company had previously communicated to this Court as well as the fact that the Company at all material times knew about the proceedings before this Court and was informed about the hearing date for this case, the Company had failed to file its Statement In Reply and bundle of documents. Furthermore, as the Company and/or its representative were not present when the matter was called up for hearing

and no witnesses were present to testify in Court on behalf of the Company, the Company has failed to prove its case;

(e) the Claimant had at all material times challenged the grounds of termination i.e. retrenchment or redundancy as per the examination in chief of the Claimant *via* CLWS-1. Moreover, there was no financial report tendered by the Company to show that the Company is indeed facing financial difficulties hence the need to reduce its workforce. As of today the Company still exist and is active; and

(f) the Company owed the Claimant wages for the months of February, March, April, May and June 2023. This at all times is unrebutted and documentary evidence such as the VSS dated 31st March 2023, letter dated 31st March 2023 entitled "*Interest to Re-employ Those Who Have Taken Up The Voluntary Separation Scheme (VSS) Dated 31 March 2023*", VSS dated 26th May 2023 and the Company's correspondence entitled "*Salary Delay Announcement*" dated 28th January 2023 support the Claimant's contention.

Remedies sought by the Claimant

[19] The Claimant prays that this Court makes such order that –

(a) the dismissal and/or termination of employment or service by the Company against the Claimant on 1st June 2023 was without just cause or excuse;

(b) the Claimant be reinstated to her original position in the Company without any loss of salary and emoluments from the date of termination of the Claimant's employment by the Company;

(c) if reinstatement is found not to be the appropriate remedy, then the Claimant be paid compensation for her services and for unfair dismissal;

(d) she be paid backwages in respect of basic salary, bonus, annual leave and all other benefits and privileges that she would have otherwise been entitled to if she had been in continued employment with the Company i.e. two (2) months' notice period at RM11,000.00 per month as well as salary for the months of February, March, April, May and June 2023 (1st June 2023 to 19th June 2023) and mobile allowance of RM120.00 per month from February 2023 to June 2023.

The Role of the Industrial Court, Burden of Proof and Standard of Proof

[20] It is noted that the role or function of the Industrial Court has been clearly stated in the following cases:

(a) the Federal Court case of *Milan Auto Sdn Bhd v Wong Seh Yen* [1995] 4 CLJ 449, where at p. 455, His Lordship Mohd Azmi bin Kamaruddin FCJ, in delivering the judgment of the Federal Court, referring to section 20 of the Industrial Relations Act 1967 said, "*...the function of the Industrial Court in dismissal cases on a reference under s. 20 is two-fold firstly, to determine whether the misconduct complained of by the employer has*

been established, and secondly whether the proven misconduct constitutes just cause or excuse for the dismissal. Failure to determine these issues on the merits would be a jurisdictional error which would merit interference by certiorari by the High Court."; and

(b) the Federal Court in the case of *Goon Kwee Phoy v J & P Coats (M) Bhd* [1981] 1 LNS 30, where His Lordship Raja Azlan Shah, CJ (Malaya) (as HRH then was) stated that "*Where representations are made and are referred to the Industrial Court for enquiry, it is the duty of that court to determine whether the termination or dismissal is with or without just cause or excuse. If the employer chooses to give a reason for the action taken by him, the duty of the Industrial Court will be to enquire whether that excuse or reason has or has not been made out. If it finds as a fact that it has not been proved, then the inevitable conclusion must be that the termination or dismissal was without just cause or excuse. The proper enquiry of the court is the reason advanced by it and that court or the High Court cannot go into another reason not relied on by the employer or find one for it.*"

[21] Thus, based on the abovementioned cases, the role or function of this Court is to determine whether the dismissal was without just cause or excuse.

[22] It is further noted in cases where a claimant is dismissed by the company, the burden is on the Company to proof that the dismissal was with just cause or excuse. In the Industrial Court case of *Ireka Construction Berhad v Chantiravathan a/l Subramaniam James* [1995] 2 ILR 11, where at p. 15, the

Learned Chairman, Her Ladyship Siti Saleha Dato' Sheikh Abu Bakar, stated "*It is a basic principle of industrial jurisprudence that in a dismissal case the employer must produce convincing evidence that the workman committed the offence or offences the workman is alleged to have committed for which he has been dismissed. The burden of proof lies on the employer to prove that he has just cause and excuse for taking the decision to impose the disciplinary measure of dismissal upon the employee. The just cause must be, either a misconduct, negligence or poor performance based on the facts of the case*".

[23] Following thereto, based on the evidence and documents presented, this Court would then have to consider on the balance of probabilities whether the dismissal was with just cause or excuse. The Court of Appeal in the case of *Telekom Malaysia Kawasan Utara v Krishnan Kutty Sanguni Nair & Anor* [2002] 3 CLJ 314, held "*the preponderant view is that the Industrial Court, when hearing a claim of unjust dismissal, even where the ground is one of dishonest act, including "theft", is not required to be satisfied beyond reasonable doubt that the employee has "committed the offence", as in a criminal prosecution. On the other hand, we see that the courts and learned authors have used such terms as "solid and sensible grounds", "sufficient to measure up to a preponderance of the evidence," "whether a case ... has been made out", "on the balance of probabilities" and "evidence of probative value". In our view the passage quoted from Administrative Law by H.W.R. Wade & C.F. Forsyth offers the clearest statement on the standard of proof required, that is the civil standard based on the balance of probabilities, which is flexible, so that the degree of probability required is proportionate to the nature of gravity of the issue. But, again, if we may add, these are not "passwords" that the failure to use them or if some other*

words are used, the decision is automatically rendered bad in law".

The Law on Redundancy and Retrenchment

[24] This Court takes note that the Claimant received a letter of redundancy dated 31st May 2023 from the Company wherein the said letter stated, *inter alia*, that *"[t]he current economic situation have compelled the management to review its organisational structure and manpower requirements. It is inevitable that the company has to reduce operating costs as we are facing cashflow issues. In view of this, the management has decided that your current role is not required at this moment. You are, therefore, given 1 month's notice of retrenchment expiring on 30 June 2023, and your last day of work would be 19th June 2023 after accounting for the leaves you would have taken…*".

[25] As regards the concept of redundancy in Malaysia, this Court observed that numerous Industrial Court cases have referred to and quoted Dunston Ayadurai's *"Industrial Relations in Malaysia, Law and Practice"*, 3rd edn, wherein at pp. 255 and 256 the author states as follows:

> "*Redundancy refers to a surplus of labour and is normally the result of a reorganisation of the business of an employer; and its usual consequence is retrenchment, ie the termination by the employer of those employees found to be surplus to his requirements after the reorganisation. Thus, there must first be redundancy or surplus of labour before there can be retrenchment or termination of the surplus.*"

[26] The author then pointed out how the Industrial Court goes about determining when reorganisation justifies retrenchment in *Gold Coins Feedmills (Malaysia) Sdn Bhd v Ibrahim Mohd Shah & Ors* [2001] 3 ILR 167 and *PBR Automotive (Malaysia) Sdn Bhd v Subramaniam Andy & Ors* [2002] 1 ILR 825.

[27] In the case of *Gold Coins Feedmills*, where at pp. 173 – 174, the Learned Chairman said –

> "*It is trite law that it is the right and privilege of every employer to reorganize his business. But as pointed out by the Industrial Court in East Asiatic Company (M) Bhd. v Valen Noel Yap Award [1987] 1 ILR 363 @ 366:*
>
> > *But this right of the employer (to reorganise his business) is limited by the rule that he must act bona fide and not capriciously or with motives of victimization or unfair labour practice.*
>
> *…*
>
> *It is settled law now that redundancy does not mean the job or work no longer exists. Redundancy situation may arise where the business requires fewer employees of whatever kind (See Stephen Bong v FCB (M) Sdn Bhd & Anor [1999] 3 MLJ 411).*
>
> *In the English case of Chapman & Others v Goonvean & Rostowrack China Clay Co. Ltd [1973] 2 All ER 1063 the English Court of Appeal held that the statutory test whether a workman had been dismissed for by*

reason of redundancy was simply whether there has been a cessation of, or diminution in, the requirements of the respondents' business for employees to carry out the kind of work on which the appellants had been engaged.

In Radio & General Trading Sdn. Bhd. v Pui Cheng Teck & Ors [1990] 2 ILR 242 the Industrial Court stated the relevant of questions for consideration are as follows:

a) *Did a redundancy situation arise leading to retrenchment in this case? This means considering whether or not the company had made a reasonable decision concerning the necessity of redundancy at that particular time or in view of the particular commercial conditions.*

b) *If there was a redundancy situation, was the consequent retrenchment made in compliance or in conformity with accepted standards of procedure? This means considering whether or not the company made a reasonable selection between or among comparable employees, ie in compliance with the principle of "last in, first out".*

It is therefore pertinent to consider in case of this nature, as was done in Food Specialities (M) Sdn Bhd v Esa Mohamed [1989] ILR 502 – whether the redundancy situation and retrenchment by the employer was a colourable exercise to get rid of the employee, and, as was done in Harris

Solid State (M) Sdn Bhd & Ors v Bruno Gentil Pereira & Ors [1996] 4 CLJ 747 – whether the particular exercise of managerial power was exercised bona fide or for collateral reasons.

Once that first question is answered, the second is posed to wit whether the consequential retrenchment was made in compliance or in conformity with accepted standards and principles of good industrial practice. In respect of the second question, the court has generally adopted the principles contained in the document entitled "areas for co-operation and agreed industrial relations practices" annexed to the "code of conduct for industrial harmony" (hereinafter referred to as the "agreed practices" for the sake of brevity). It is also important to bear in mind that the concern underlying the said agreed practices is that the management of the redundancy situation should be fair and just. Any reference in this case to the code would necessarily include a reference to the code and annexed agreed Practices.

It has been held that the code has "no legal force or sanction" (Penang & S. Prai Textile & Garment Industry Employees' Union v Dragon & Phoenix, Penang, & Anor [1989] 1 CLJ 802). The court has, however, received into its jurisprudence some of the agreed practices. …"

[28] With regard to the case of *PBR Automotive*, the said case pertains to the retrenchment of three claimants by the company. The Learned Chairman, in reiterating the abovementioned law relating to redundancy, had posed three issues that needed to be considered by the court –

(a) whether there was a *bona fide* need to reorganise the company's business;

(b) were the three claimants' positions redundant as a result of the reorganisation thereby justifying their retrenchment; and

(c) were the claimants' selection in accordance with the general principles of retrenchment.

[29] In relation to retrenchment, the Court of Appeal in the case of *William Jacks & Co (M) Sdn. Bhd. v S. Balasingam* [1997] 3 CLJ 235 held, *inter alia*, that "*'Retrenchment' has been defined as the discharge of surplus labour or staff by an employer for any reason whatsoever otherwise than as a punishment inflicted by way of disciplinary action. Whether the retrenchment exercise in a particular case is bona fide or otherwise is a question of fact and of degree depending on the peculiar circumstances of the case. It is well-settled that the employer is entitled to organise his business in the manner he considers best. So long as the managerial power is exercised bona fide, the decision is immune from examination even by the Industrial Court. However, the Industrial Court is empowered, and indeed duty-bound, to investigate the facts and circumstances of the case to determine whether the exercise of power is in fact bona fide*".

Issues to be determined

[30] This Court notes that based on the Industrial Court cases of *Gold Coins Feedmills (Malaysia) Sdn Bhd v Ibrahim Mohd Shah & Ors* [2001] 3 ILR 167,

PBR Automotive (Malaysia) Sdn Bhd v Subramaniam Andy & Ors [2002] 1 ILR 825 and the Court of Appeal's case of *William Jacks & Co (M) Sdn. Bhd. v. S. Balasingam* [1997] 3 CLJ 235, this Court would have to determine –

(a) whether there was a *bona fide* need to reorganise the Company's business;

(b) was the Claimant's position redundant as a result of the reorganisation thereby justifying her retrenchment; and

(c) was the Claimant's selection in accordance with the general principles of retrenchment.

Proceedings pursuant to paragraph 29(d) of the Industrial Relations Act 1967 [Act 177]

[31] For purposes of the present case, the Company had failed to attend court and had also failed to file the Statement in Reply as well as bundle of documents to defend itself against the Claimant's claim.

[32] Paragraph 29(d) of the Industrial Relations Act 1967 provides that this Court may, "*in any proceedings before it – hear and determine the matter before it notwithstanding the failure of any party to submit any written statement whether of case or reply to the Court within such time as may be prescribed by the President or in the absence of any party to the proceedings who has been served with a notice or summons to appear*".

[33] For purposes of paragraph 29(d) of the Industrial Relations Act 1967, it is worth noting that at p. 1062 of OP Malhotra's "*The Law of Industrial Disputes*", Vol. 1, 6th Edn., it is stated that *"[p]rompt discharge of business is of particular importance before a tribunal adjudicating an industrial dispute*". On the same page, the author pointed out that "*[i]f, however, a party willfully absents himself or conducts himself in such a way that the adjudication is likely to be impeded, or willfully tries to delay or avoid the proceedings, the tribunal may fix a preemptory hearing on a particular day. After reasonable notice of hearing has been given to the defaulting party, if he still neglects or refuses to attend, the tribunal may and ought to hear in his absence*".

[34] Based on the above considerations, as the Company has been served with the relevant notice or summons, this Court proceeded to hear the case on 27th September 2024 notwithstanding the failure of the Company to submit its pleadings as well as bundle of documents and notwithstanding the absence of the Company to the proceedings.

This Court's Findings

[35] This Court recognizes that the Company has the prerogative to reorganize its business operations so long as the said prerogative is exercised *bona fide*. However, as the Company had failed to attend Court as well as submit its pleadings and lead evidence to show –

(a) why it had to review its organizational structure and manpower requirements as well as reduce operating costs;

(b) its audited loss and profit accounts to justify its decision relating to the same;

(c) it had applied the LIFO principle in the selection process for retrenchment and had ensure compliance with the Code of Conduct for Industrial Harmony before singling out the Claimant,

this Court has no other option but to conclude that it did not have any explanation as regards the above.

[36] Moreover, the Company's notice of retrenchment of one (1) month could hardly be considered a reasonable period of time for the Claimant to prepare for such eventualities and to find as well as secure alternative employment.

[37] As the Company in the present case had failed to attend court and file the Statement in Reply to defend itself against the Claimant's claim, the evidence adduced by the Claimant in Court is unchallenged. Following thereto, this Court fails to find the Company's decision to restructure its business and reorganize its manpower as genuine and *bona fide*. As such, this Court finds that the Company has failed to proof on the balance of probabilities that the Claimant's role has been made redundant.

[38] Thus, in accordance with subsection 30(5) of the Industrial Relations Act 1967 and guided by the principles of equity, good conscience and substantial merits of the case without regard to technicalities and legal forms, this Court finds that the Claimant's dismissal was without just cause or excuse.

Accordingly, this Court allows the Claimant's case and/or claims against the Company.

Remedy

[39] This Court will now proceed to consider the appropriate remedy applicable to the Claimant. The Claimant prays that this Court makes such order that the Company pay all monies owed to her by the Company for the unpaid wages from the month of February to June 2023 and further back wages from the date of her dismissal until the award is handed down.

[40] Based on the facts of this case, this Court views that reinstatement of the Claimant to her former position is not a suitable remedy and not in the interest of industrial harmony. Hence, the Court will not order reinstatement of the Claimant.

[41] As such, the appropriate remedy in the circumstances of this case will be compensation in lieu of reinstatement. Thus, this Court orders that the Claimant be paid one month wages of the last drawn salary of RM11,000.00, for every year of service completed i.e. one (1) year.

[42] In addition to the above, this Court further orders the Company pay the Claimant all monies owed to her for the unpaid wages from the months of February to June 2023.

[43] This Court also orders that the Claimant be paid compensation in the form of back wages. Having considered relating to the same, this Court views eight (8) months back wages should be the appropriate sum to be awarded to the Claimant.

[44] Therefore, based on the Claimant's last drawn salary of RM11,000.00, the total amount of compensation in lieu of reinstatement, unpaid wages and back wages payable to the Claimant is as follows:

(i) Compensation in lieu of reinstatement

RM11,000.00 x 1 month = RM11,000.00;

(ii) Monies owed to her by the Company for the unpaid wages

RM11,000.00 x 5 months = RM55,000.00;

and

(iii) Backwages

RM11,000.00 x 8 months = RM88,000.00

TOTAL = RM154,000.00

Order

[45] This Court hereby orders that the Company pays the Claimant the total sum of Ringgit Malaysia One Hundred Fifty Four Thousand (RM154,000.00) within 60 days from the date of this Award.

HANDED DOWN AND DATED THIS 27th DAY OF NOVEMBER, 2025.

-signed-

(NUR FAUZAH BINTI DATO' MOKHTAR)
CHAIRMAN
INDUSTRIAL COURT OF MALAYSIA
AT KUALA LUMPUR